

BOARD AUDIT COMMITTEE REPORT

Our rigorous examination of internal controls and risk management practices ensured the integrity of the financial statements presented in this annual report. We engaged in constructive dialogue with management and external auditors, fostering a culture of accountability and continuous improvement. Our efforts aimed to safeguard the interests of shareholders and stakeholders, promoting trust and confidence in the company's financial operations



Ms. Yogadinusha Bhaskaran
Chairperson - Board Audit Committee

PURPOSE OF THE COMMITTEE

The Board Audit Committee was established by the Board to obtain an objective review and oversight of the financial reporting process, governance process, the audit process, the company's system of internal controls and risk management and compliance process

COMPOSITION OF THE COMMITTEE

During the year, the Board Audit Committee was composed of three Non-Executive Directors, a majority of whom are independent, in compliance with regulatory composition requirements. The Board is confident that the current members of the Committee poses the necessary competence in financial and technology related matters and have recent and relevant experience.

BOARD MEMBER	BOARD STATUS
Ms. Yogadinusha Bhaskaran	Non-Executive Director
Mr. Ashane Jayasekara	Independent Non-Executive Director
Ms. Ashwini Natesan	Independent Non-Executive Director

COMMITTEE MEETINGS

The Committee convened thirteen (13) meetings throughout the reviewed year. Details regarding the attendance of Committee Members are stated in the table on page 174.

The Managing Director, Deputy Managing Director, Executive Directors and the senior management of LBF including Chief Internal Auditor and Chief Financial Officer attended the meetings by invitation. The members of the management team and the Company's External Auditor, Messrs. Ernst & Young were invited to participate at the meetings as and when required. M/s. P W Corporate Secretarial (Pvt) Ltd acted as Secretary to the Committee, the proceedings of which were periodically reported to the Board. The profiles of the Audit Committee members are given on pages 156 to 160.

COMMITTEE CHARTER

The Board approved charter of the Audit Committee is in place and it clearly defines the terms of reference of the committee. The Audit Committee Charter

is reviewed annually to ensure that all new developments related to audit committee are duly incorporated. The audit committee charter was last reviewed and approved by the Board of Directors in December 2023.

The fundamental role of the Audit Committee is to assist the Board in discharging its oversight responsibilities in the areas of internal and external audits, internal financial controls and financial reporting process, other internal controls and regulatory compliances.

The Audit Committee functions are regulated in conformity with the finance business act direction no. 5 of 2021 on corporate governance, revised continuing listing rules on corporate governance issued by CSE that came to effective on October 2023 and revised code of best practice on corporate governance issued by CA Sri Lanka in 2023.

COMMITTEE RESPONSIBILITIES

The key responsibilities of the Board Audit Committee as mandated by the Board are as follows;

- The primary objective of the Audit Committee is to assist the Board in its independent oversight of the accuracy and integrity of the financial statements, internal control systems and compliance with company policies, legal and regulatory requirements. This is essential in safeguarding the interests of all stakeholders, including shareholders and depositors.
- The Committee is responsible for supervising the effectiveness of the internal control system, financial reporting, internal audit function, risk management, and compliance with applicable laws, regulations and directives from the CBSL, CSE and other regulatory bodies. Additionally, committee ensures the adequacy and effectiveness of the Company`s governance process.
- The Committee shall exercise its independent oversight over the internal and external assurance processes to ensure that both auditors maintain their independence, objectivity and the effectiveness of the audit process.

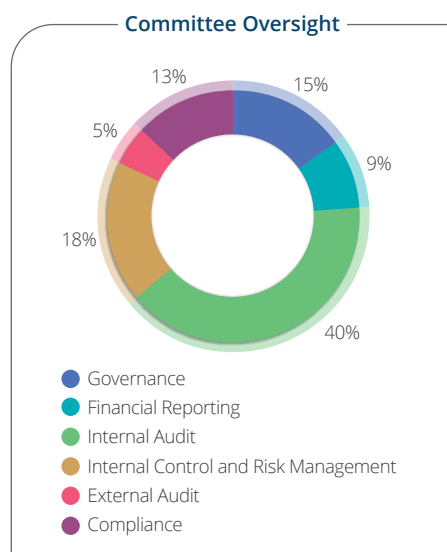
The committee considers relevant local and global professional and regulatory requirements to ensure compliance.

- The Audit Committee shall ensure that the Company adopts and adheres to highest level of standards in corporate governance practices, prime ethical standards and industry best practices in the best interest of all stakeholders.
- The Committee is responsible for reviewing the results of all types of inspections such as internal audit reports, information system audit reports and working with senior management to identify and address control weaknesses, procedure violations, frauds and errors. The Committee takes necessary precautionary measures to mitigate any risks may arise.
- The Committee is provided with adequate resources to fulfil its duties, including support from the Internal Audit Department, the external auditor, legal counsel and management. The committee examines all matters relating to the Company's accounting principles and practices, as well as reviews all material financial, operational and compliance controls.
- Examining statutory examination reports and ensure necessary corrective action are timely taken and monitor the implementation of action plan

COMMITTEE ACTIVITIES DURING THE FINANCIAL YEAR

Direct oversight of the Committee

The committee assisted in discharging Boards responsibility on governance aspects, financial reporting systems, internal and external audit processes, risk management and system of internal controls of the company and internal and external compliance reviews. Thirteen (13) committee meetings were held during the year and the committee allocated sufficient time to focus on key aspects as follows:



Financial reporting system

The Committee assisted the Board of Directors in the discharge of its duties by reviewing the company's financial reporting system. The Committee ensured that accounting policies, practices and internal controls are adequate to provide reasonable assurance that the financial reporting system is effective and efficient in providing reliable and timely information. The Committee discharged its duties with particular reference to the following:

- The preparation, presentation and adequacy of the disclosures in the Company's annual and interim financial statements in conformity with Sri Lanka accounting standards, regulatory and statutory requirements applicable to LBF;
- The rationale and basis for the 'significant estimates and judgments' underlying the financial statements;
- The internal control systems including information systems and procedures in place to provide reasonable assurance on the accuracy of recording all transactions in the books of accounts;
- The effectiveness of the financial reporting systems including the management accounts to ensure reliability of the information provided to the Board and other stakeholders of the Company.

- The Audit Committee has obtained assurance from both the MD and the CFO regarding the LBF's operations and finances to further strengthen its oversight responsibility on financial reporting and internal controls.
- The annual and the quarterly financial statements have been reviewed and recommended for the approval of the Board.
- The Committee focused special attention on the assessment of adequacy of provision for Expected Credit Loss (ECL) recognised in the financial statements by factoring the potential implications on prevailing economic condition of the country

Compliance monitoring mechanism

Statutory and regulatory compliances are on priority. Mechanisms to ensure timely and effective implementation of regulatory requirements are necessary to safeguard the interests of all stakeholders. Process owners are responsible for complying with all regulations as part of their standard operating procedure.

The Compliance Officer reviews and reports on any gaps or areas of non-compliance to the Audit Committee. It is also the mandate of the Compliance Officer to disseminate new regulatory requirements and update policies and procedure manuals to incorporate such requirements.

The reports of the Compliance Officer are monthly submitted to the Board audit committee and committee chairperson shall update the Board on matters which require board's attention.

A process has been set up to obtain periodic confirmations from the senior management regarding compliance with the statutory and regulatory requirements through the compliance function. The Committee also obtains assurance from internal auditors on several key regulatory compliance of the Company, in line with their respective internal audit programs.

A process is in place to establish new procedures / processes, or amending the existing, to facilitate new statutory / or regulatory requirements come in to effect. The compliance officer agrees on internal timelines with the respective process

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owners when a significant change in people, processes or systems are effected as a result of new regulations.

Significant regulations / directions issued by regulators came to effect; Financial Consumer Protection Regulations No. 01 of 2023, amended CSE listing rules, transition periods provided for direction no. 05 of 2021 on Corporate Governance and direction no. 01 of 2022 on Technology Risk Management and Resilience have been incorporated to operations of the Company during the year under review. The implementation status of statutory and regulatory concerns has been duly followed up by the Compliance Officer and the committee is regularly updated on the status at the monthly meetings.

The statutory examination report of CBSL and Finance Intelligence Unit (FIU) have also been reviewed in its monthly meetings and necessary remedial actions have been taken as agreed in the time-bound action plan.

The Committee is satisfied with the present status of compliance with financial reporting requirements, CBSL regulatory requirements, information requirements under CSE listing rules, the Companies Act and the SEC Act and other relevant financial reporting related regulations and requirements.

Internal assurance

The Chief Internal Auditor reports directly to the Board Audit Committee and provides independent assurance to the Committee in discharging its duties. The Committee ensures that the internal audit function is independent of the activities it audits and it possesses proficiency and exercises due professional care. The Board approved procedure manual for Internal Audit Department is in place to reflect current practices of the Internal Audit Department. The procedure manual was last reviewed and approved by the Board in August 2023.

A risk-based audit methodology and approach has been adopted and all auditable areas/ processes of the company are covered. The risk-based annual internal audit plan is reviewed by the Committee before commencement

of the financial year and assesses the adequacy of resources for the department to provide uninterrupted assurance service. The Committee has reviewed the performance of the chief internal auditor and senior manager IS audit for the period to strengthen the independent assurance process.

The Committee reviewed the efficacy of the internal control system and compliance with regulatory requirements and also the Company's accounting and operational policies through the internal audit function. Prior to the commencement of audits, the scope of audit is reviewed by the Committee which recommends amendments where necessary, prior to approval. Control weaknesses highlighted in the internal audit reports are critically examined by the Committee. All observations are graded into separate risk groups based on the risk grading matrix adopted by the company and action plans are prioritised according to the severity. Follow up action taken by the management on the audit recommendations are also reviewed and recommends re-audits where necessary, to ensure the effectiveness of the internal controls.

The Committee paid high level attention on the company's information systems and its supporting technology infrastructure to ascertain the adequacy of internal controls and effectiveness and efficiency of such investments are fulfilled while ensuring the confidentiality, integrity and availability of the processes supports for financial reporting. The IS Audit team independently assessed the level of confidence in line with industry standards such as ISO 27001:2022, COBIT, NIST, CIS etc., and other statutory/ regulatory directions to provide assurance at the monthly Audit Committee meetings.

The committee has prioritised systematic examinations of exception monitoring processes throughout the reporting period. These evaluations entailed meticulous reviews of financial transactions, operational procedures, and regulatory compliance frameworks to detect any deviations from established norms or potential risks. The internal audit team has been engaged to assess methodologies and tools for scrutinising

anomalies and exceptions, with the aim of fortifying the company's control environment and reducing potential threats.

External assurance

The Committee assisted the Board by recommending the appointment of the External Auditor in compliance with the relevant statutes and regulations, the service period, audit fee and any resignation or dismissal of the auditor.

The Committee reviewed the independence, objectivity and the effectiveness of the audit process in accordance with applicable standards and best practices. A written assurance was obtained from the external auditor confirming that they have been independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements. During the year, the Committee has evaluated the external auditor in line with applicable standards and industry best practices and satisfied with the status of the independence, objectivity and performance of the external auditor. The committee noted that the current audit partner has served in that capacity since 2023/24, whereas the external audit firm, Messrs. Ernst & Young, has been LBF's auditor since its inception.

The Committee together with management reviewed and discussed the scope of audit, approach and audit plan with the external auditor, Messrs. Ernst & Young, prior to the commencement of the audit for 2023/24. The Committee reiterated the necessity of reviewing the compliance status on regulatory and statutory requirements, preparation of financial statements in conformity with relevant accounting principles and reporting obligations, cybersecurity aspects and other internal control measures.

The Auditors were provided with the opportunity of meeting the Committee Members twice during the year, without any executive officer being present, to ensure that the auditors had the unrestricted opportunity to discuss and express their opinions on any relevant

matter. This process assured the Committee that the management has fully cooperated in providing the information and explanations requested by the Auditor.

The Committee met the external auditors to discuss the management letter pertaining to the previous year's audit and the management's response thereto. Follow up actions were taken to ensure that the recommendations contained in the management letter were implemented by management.

The Committee reviewed the non-audit services provided by the auditor to ensure that the provision of these services does not impair their independence and objectivity. The Committee is satisfied that there is no conflict of interests between the Company and the Auditor which would hinder the independence and objectivity of the Auditor. The Policy for engaging External Auditor Non-Audit services was reviewed and approved in June 2023.

In compliance with the provisions made in new corporate governance direction no. 05 of 2021, the committee evaluated several proposals submitted by leading audit firms practicing Sri Lanka. As a result of this evaluation process, the committee has proposed to the Board of Directors the appointment of Messrs. KPMG, Sri Lanka, Chartered Accountants, as the external auditor for the year concluding on 31 March 2025, pending ratification by shareholders at the forthcoming annual general meeting.

Internal Control systems and Risk Management

Various processes have been implemented by the Committee to ensure the efficiency and effectiveness of company's internal control systems. Key processes related risks and internal controls are regularly reviewed by the internal audit department and is of the view that adequate controls and procedures are in place to provide reasonable assurance to the Board that the assets of the Company are safeguarded and the financial statements present a true and fair view. Status of remediation plans are updated at the monthly audit committee meetings.

The committee reviewed the risk management framework and Internal Capital Adequacy Assessment Process (ICAAP) of the company during the year.

In addition, a process has been established to assess the effectiveness of the company's internal control systems and internal controls over financial reporting.

GOOD GOVERNANCE AND WHISTLEBLOWING

The highest standards of corporate governance and adherence to the internal policies and procedures were ensured by the Committee to establish good governance within the organisation. The requirement of establishing new policies/ procedures / and amending the existing policies/ procedures in line with applicable statutory / regulatory requirements have been identified by the committee and processes are in place to duly comply the requirements. The committee has reviewed 25 charters / policies and procedures during the year and recommended them for approval of the Board. The Committee is satisfied with the present corporate governance framework of the organisation which ensures a balance of power and authority.

The Committee ensures the Whistleblowing Policy of the Company is a current, active set of measures to which all employees/ incidents have recourse. There was only one incident reported by a whistleblower during the year and necessary investigations and actions were implemented as per the provisions made in the whistle-blowing policy. All employees are encouraged to practice whistleblowing if they suspect any wrongdoing. Senior Management, from time to time conducts awareness programs to encourage staff to raise genuine concerns. The Compliance Officer reports on the whistleblowing incidents confidentially to the Committee each quarter end. The Committee remains committed to follow-up on any future complaints/ incidents, should they occur. The whistleblowing policy has been reviewed and revised regularly with the intention of further strengthening the existing process

TRAINING AND DEVELOPMENT OF COMMITTEE MEMBERS

Continuous training and professional development have been undertaken by committee. Attending virtual and physical seminars, conferences, workshops, presentations done by internal and external officers on the areas such as new developments, new accounting standards, tax regulations, new statutes and directions issued by the Central Bank of Sri Lanka. An awareness session has been conducted to the Committee by a leading audit firm on the potential risks to the internal control environment as a result of using RPAs and the overview of Domestic Debt Restructure (DDR), DDR Scenarios, SLDBs accounting and risk implications and key considerations.

COMMITTEE EFFECTIVENESS EVALUATION

As in the previous years, the effectiveness of the Committee was self-evaluated by its members for the year ended 31.03.2024 and the results were presented to the Board. The Committee has concluded that its performance was highly effective.

I wish to thank my fellow Committee members, Executive Directors and the Senior Management for their cooperation during the year.



Ms. Yogadinusha Bhaskaran
Chairperson - Board Audit Committee

27 May 2024